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NetEase, Inc | Asia Pacific

New title revealed: ECC: REDLINE

NetEase announced a new FPS title *ECC: REDLINE*, which will start global PC testing on Oct 15. We think the gameplay is battle royale, similar to *Call of Duty: Warzone*, which can attract hard core shooter players. The game is developed by the Huangye Studio, which has a track record of two successful global FPS titles in the past - *Knives Out* and *Blood Strike*.

The game title is not baked in our grossings estimates and successful testing or launch in future might introduce upside risk to our estimates. FPS is the largest game genre globally but also faces strong competition. Battle royale is also a relatively mature sub-sector within the genre and hence we think differentiation will be the key to success. It is also possible that this title contains other gameplay beyond battle royale.

Related notes: NetEase, Inc: Something Big Is Coming (27 Sep 2026).

MORGAN STANLEY ASIA LIMITED+

Yang Liu
Equity Analyst
Yang.Liu@morganstanley.com +852 2239-1911

Tom Tang
Equity Analyst
Tom.Tang@morganstanley.com +852 3963-1860

Gary Yu
Equity Analyst
Gary.Yu@morganstanley.com +852 2848-6918

NetEase, Inc (NTES.O, NTES US)
Top Pick

China Internet and Other Services | China

Stock Rating	**Overweight**
Industry View	**Attractive**
Price target	US$163.00
Up/downside to price target (%)	36
Shr price, close (Oct 8, 2026)	US$119.60
52-Week Range	US$156.44-106.06
Sh out, dil, curr (mn)	644
Mkt cap, curr (mn)	US$77,062
Avg daily trading value (mn)	US$102

Fiscal Year Ending	**12/25**	**12/26e**	**12/27e**	**12/28e**
EPS (Rmb)**	58.02	62.31	71.26	75.37
EPS (Rmb)§	61.12	62.11	72.14	78.01
Revenue, net (Rmb mn)	112,626	121,208	127,299	133,703
EBITDA (Rmb mn)	38,082	48,770	50,971	53,928
Net income (Rmb mn)**	37,344	39,919	45,435	47,833
P/E	18.3	13.8	11.9	11.2
P/BV	3.9	2.8	2.5	2.2
ROE (%)	24.3	23.3	23.6	21.9
EV/EBITDA	12.1	7.0	6.1	5.3
Div yld (%)	0.3	0.4	0.5	0.5

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

NetEase, Inc (NTES.O)

Base case, sum of the parts.

- Games - 15x 2026e P/E compared to US/EU publishers at 15-30x. Reflects slower growth and limited overseas exposure.
- Music - Latest market cap adjusted for NetEase's stake of 61.35%.
- Youdao - Latest market cap adjusted for NetEase's stake of 53%.
- Net cash at 30% discount
- USD/CNY assumption of 6.75.

Risks to Upside

- Better-than-expected performance of existing and/or new game titles
- Faster-than-expected overseas expansion

Risks to Downside

- Shorter-than-expected life cycle of games
- Weaker-than-expected margin, with a drag from loss-making businesses

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(as of September 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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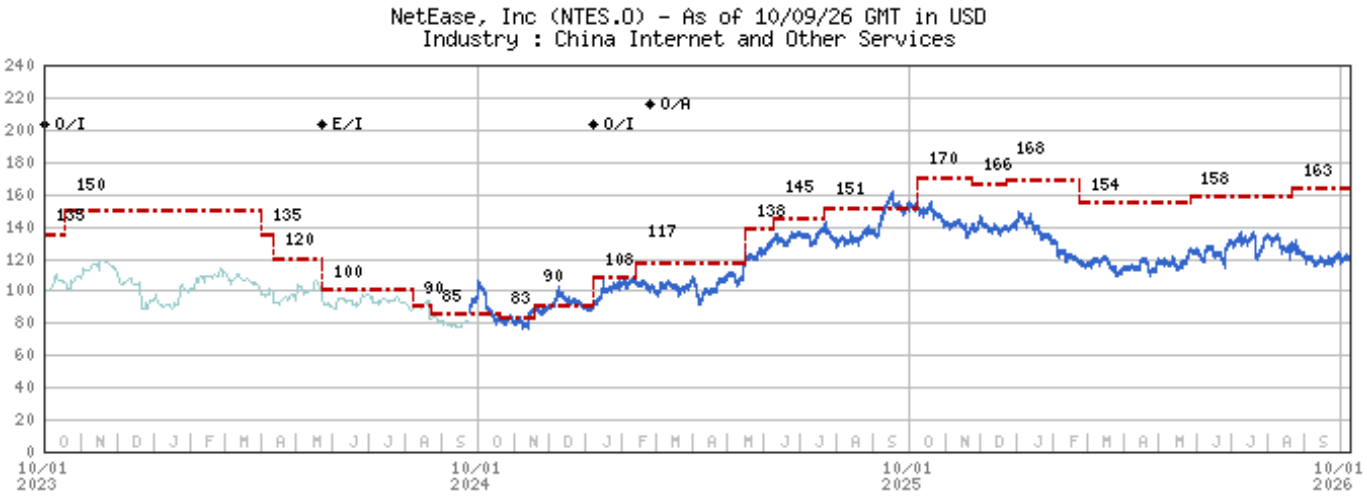
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Stock Rating History: 10/1/21 : O/I; 5/23/24 : E/I; 1/8/25 : O/I; 2/24/25 : O/A

Price Target History: 9/20/21 : 120; 11/1/21 : 140; 3/21/22 : 130; 7/14/22 : 125; 8/15/22 : 110; 10/18/22 : 95; 11/8/22 : 85; 12/14/22 : 95; 1/16/23 : 105; 1/17/23 : 107; 4/18/23 : 115; 5/26/23 : 120; 7/17/23 : 130; 8/25/23 : 135; 10/18/23 : 150; 4/2/24 : 135; 4/12/24 : 120; 5/23/24 : 100; 8/8/24 : 90; 8/23/24 : 85; 10/21/24 : 83; 11/18/24 : 90; 1/8/25 : 108; 2/12/25 : 117; 5/16/25 : 138; 6/9/25 : 145; 7/22/25 : 151; 10/8/25 : 170; 11/24/25 : 166; 12/22/25 : 168; 2/23/26 : 154; 5/27/26 : 158; 8/21/26 : 163

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: China Internet and Other Services

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/08/2026)
Eddy Wang, CFA		
Autohome Inc (ATHM.N)	E (02/09/2023)	US$20.37
Full Truck Alliance Co. Ltd (YMM.N)	O (07/05/2023)	US$8.33
JD.com, Inc. (JD.O)	U (11/10/2025)	US$26.91
Kanzhun Ltd (BZ.O)	O (08/04/2021)	US$15.18
KE Holdings Inc (BEKE.N)	O (03/16/2022)	US$17.09
PDD Holdings Inc (PDD.O)	O (03/02/2023)	US$78.26
Vipshop Holdings Ltd (VIPS.N)	E (02/24/2022)	US$12.72
Gary Yu		
Alibaba Group Holding (BABA.N)	O (02/24/2025)	US$105.70
Baidu Inc (BIDU.O)	U (08/19/2026)	US$83.92
Meituan (3690.HK)	O (08/29/2024)	HK$69.40
Tencent Holdings Ltd. (0700.HK)	O (03/19/2020)	HK$411.40
Rebecca Xu		
HUYA Inc (HUYA.N)	E (05/16/2024)	US$2.24
IQIYI Inc (IQ.O)	E (01/19/2023)	US$1.01
JOYY Inc. (JOYY.O)	E (06/02/2022)	US$80.85
Weibo Corp (WB.O)	U (05/17/2024)	US$6.44
Yang Liu		
Bilibili Inc (BILI.O)	++	US$14.85
Kuaishou Technology (1024.HK)	E (08/20/2026)	HK$28.54
NetEase, Inc (NTES.O)	O (01/08/2025)	US$119.60

Tongcheng Travel Holdings (0780.HK)	O (01/04/2019)	HK$9.85
Trip.com Group Ltd (TCOM.O)	O (05/17/2021)	US$37.96

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* Historical prices are not split adjusted.

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